

US-China Trade War Simulation

China Briefing #4: Openness to U.S. Trade and Investment Generates Limited Economic Benefits and Significant Risks for China

In this simulation, you will be part of a team of negotiators representing China in trade talks with the United States. ***Your goal is to represent the interests of Chinese businesses and consumers who might be harmed by trade and investment with the United States*** and to ensure that any agreement reached between the two countries will reflect these interests.

If no agreement is reached by the end of negotiations, tariffs on \$200 billion worth of Chinese goods will increase from 10% to 25%. To put this figure in perspective, China exported approximately \$522.9 billion worth of goods and services to the U.S. and imported \$187.5 billion worth in 2017.

Why U.S. Trade and Investment Generate Limited Economic Benefits for China

The majority of China's export-led growth comes from processing trade (a.k.a. contract manufacturing, where exporters import inputs, assemble, and re-export the final products). Multinational firms operating in China capture the vast majority of the value added in this process. For example, China still earns only 2% the total value for each iPhone it assembles and exports to the rest of the world.

Multinational firms have taken advantage of China's low input costs while transferring limited technology to China's domestic firms. Research has shown no evidence of a steady narrowing in export quality between foreign enterprises and China's domestic suppliers. Most multinationals engage in little truly cutting edge R&D in China. Most of China's recent growth in export has come from intensive margin (exports keep on getting cheaper), which is not sustainable with China's rising labor costs.

In addition, reliance on processing trade means that China's prosperity is vulnerable to the fluctuating demands in western markets. China's decision to open its doors, to use its abundant and cheap labor force to participate in the global division of labor, and to welcome foreign capital, and in the form of processing trade, make full use of inter-firm trade within multinational corporations to promote exports, may have helped promote domestic economic growth through exports *in the past*, but it is increasingly unsustainable as China runs out of surplus labor. China has also paid a hefty environmental price serving as the world's factory at the low-end of the global production chain.

China must engage in industrial upgrading to move its manufacturing sector from low-value, labor-intensive production towards higher-value, technology-intensive industries. Doing so would enhance China's economic competitiveness on the global stage by producing more sophisticated goods, increasing profit margins, reducing pollution, and reducing reliance on low-cost labor.

Concerns about U.S.-China Trade and Investment Relations

Because you represent interests that consider U.S.-China trade to be of limited benefit to China, your main concerns are to **defend China's techno-industrial policies** in order to elevate China away from its relative low status on the global production chain and to capture more of the value added. You also want to accelerate technology transfer from the U.S. to China and to make sure that U.S.-China trade and investment serve China's national development goals:

Only a small number of developing countries such as Japan and South Korea managed to join the ranks of high-income countries in the past century. They have done so by establishing competitive

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home-grown industries in capital- and technology-intensive manufacturing sectors. The state played a substantial strategic role in the economic success of these developmental states. However, the rules that govern global trade has become much less permissive of industrial policies since the WTO came into force in 1995. Practices, like technology licensing agreements, were discouraged in favor of unrestricted foreign direct investment flows, which allowed foreign investors greater control over technology transfers. Rules that focused on reducing tariff barriers were expanded to the service sector, intellectual property rights and domestic subsidies, among other areas. These rules favor businesses from already developed countries and effectively reduced the policy space of developing countries to become rich themselves.

When China started its economic reform and opening, it faced tough policy choices in order to join the WTO. Chinese and American policymakers were well aware of what China had (and had not) signed up to. China's policymakers today should remember that, by itself, opening up is not an objective. At any given stage of development, designing an opening-up strategy is to realize national objectives for that stage of development. China is not obligated to make any additional concessions in areas like government procurement and antitrust enforcement that lay outside of its WTO obligations. The United States must also recognize that China has already paid a high price by opening its markets to trade and investment. The reforms to state-owned enterprises in the 1990s that enabled China's accession to the World Trade Organization (WTO) led to approximately 35% of their workforce, or forty million workers, being laid off over five years.

With China's aging workforce and rising wages, the reliance on labor intensive, export-oriented growth is increasingly unsustainable and China must reorient its growth model from high growth to high quality, balanced, and sustainable growth. Industrial policies that support emerging strategic industries play an important role in this process and cannot be compromised.

China's reliance on foreign technology providers in finance, telecommunications, energy and government affairs put national security at risk, as evidenced by the Snowden leaks. Indigenous innovation is necessary to develop domestic technology that is more secure and reliable. The Chinese government should support domestic technology companies such as Huawei and ZTE and push back against U.S. technological containment.

In addition, the United States' concern about trade deficit with China is completely misplaced. A majority of this deficit can be attributed to the export of assembled final products by multinational corporations operating in China. China's current relative low status on the global production chain has determined its trade position with the United States. This deficit will not decrease unless China can rely on its industrial policy to alter the distribution of comparative advantages across the two countries.

Formulating a Negotiation Strategy: Opening-up the Economy must Serve State Goals for National Development

China should remind the United States that reducing tariffs to 2017 levels serves the interest of both economies. Some concessions can be made but we should be careful that these do not undermine China's long-term economic development:

1. **China should NOT support any deal that would eliminate the state's ability to support emerging industries** and promote innovation through industrial policy (MiC 2025 may need to be walked back, but the government must not surrender the right to use subsidies and regulations to promote domestic industries and develop cutting edge technology)
2. **Increasing imports of American goods** without undermining China's food and energy security (such a purchase agreement would help Chinese consumers by lowering prices, help U.S. producers of soybeans, natural gas, oil, and help reduce the trade deficit between the U.S. and China)
3. **Strengthen intellectual property protection**, trade secret protection, and counterpiracy enforcement (these policies strengthen the rule of law in China and protect all innovative and productive companies, whether they are American or Chinese)
4. **Reform specific policies and practices linked to forced technology transfer** (the new Foreign Investment Law passed in March 2019 already contains language that make it illegal to force foreign companies to surrender technology to Chinese partners)

In exchange, China should demand the following concessions from the United States:

1. **Reduce tariffs on Chinese imports to 2017 levels** (there are currently 25% tariffs on \$50 billion and 10% tariffs on another \$200 billion of Chinese imports and retaliatory tariffs of 10-25% tariffs on \$110 billion of U.S. imports, these tariffs hurt consumers and businesses in both countries and should be walked back as part of any deal)
2. **U.S. should refrain from sanctioning Chinese firms such as Huawei and ZTE** (the U.S. has accused Huawei and ZTE of violating American sanctions against Iran and North Korea and threatened to deny them access American made components and blocked them from American markets, China should seek reciprocity in fair treatment of Chinese firms in the U.S. if it grants greater market access to U.S. firms in China)
3. **The U.S. can agree to take a more limited approach in defining its export control regime** regarding the export of dual-use technologies (the U.S. export control regime is under review at present and it is in China's interest to make sure the new rules will not be used to ban most or all high technology exports to China)
4. **Open government procurement to Chinese technology products and services** (the U.S. government is the largest customer in many sectors, another important part of reciprocal market access is to open up government procurement to foreign competition.)